CHAPTER 6

The internal customer

Unit B · Learning outcome LO2 · Model: Internal Service Quality and RACI

Most service failures that customers see start inside the business, at a handover between two teams. This chapter shows how to find those gaps and make someone clearly accountable.

By the end of this chapter you can:

- explain internal service quality and why it matters to external customers
- build a RACI chart for a handover between teams
- analyse an inter-team gap and justify a fix

Key terms

Term	Meaning
Internal service quality	How well teams inside a business serve each other
Handover	When a task or customer passes from one person or team to another
Silo	A team that works alone and does not share information
Responsible (R)	The person who does the work
Accountable (A)	The one person who owns the result and makes the final decision
Consulted (C)	People whose advice is needed before acting
Informed (I)	People who must be told what happened
Service level agreement (SLA)	A promise between teams about speed and quality, for example "reply within 4 hours"

Core idea: every team has customers

The warehouse serves the sales team. IT serves the contact centre. Finance serves everyone who needs a refund approved. When one internal team is slow or unclear, the external customer waits.

This is the first link of the Service-Profit Chain again. Staff who get poor service from their own colleagues become frustrated, and they pass that frustration to customers.

Common signs of poor internal service:

- "That's not my department."
- Customers repeat their story to every team.
- Two teams each think the other is handling a problem, so nobody does.
- Information sits in one team's email and never reaches the others.

The Level 5 model: RACI

A RACI chart lists each task in a process and shows who is **R**esponsible, **A**ccountable, **C**onsulted and **I**nformed. The golden rule: **each task has exactly one A.**

Example: a customer asks Lulu Hypermarket for a refund for a damaged TV (imagined example).

Task	Contact centre agent	Delivery team	Finance	Store manager
Log the complaint and photos	R, A	I		I
Inspect the damage	C	R		A
Approve the refund	C	C	R	A
Pay the refund	I		R, A	I
Tell the customer the outcome	R, A		I	I

Use it in three steps

1. List the handovers between teams.
2. Mark R, A, C and I for each one.
3. Fix the handover where nobody is clearly accountable.

SENTENCE FRAME

The gap is between ___ and ___. Nobody is accountable for ___.

Deeper theory

Internal service quality

Heskett and colleagues (1994) placed **internal service quality** at the start of the Service-Profit Chain. It includes:

- **Workplace design:** a safe, comfortable place to work.

- **Job design:** clear roles and reasonable workloads.
- **Tools:** systems that work, such as a fast CRM.
- **Training and support:** staff know how to do the job.
- **Recognition and rewards:** good work is noticed.
- **Service from other teams:** IT, finance, warehouse and others help quickly.

When internal service is poor, frontline staff cannot give good external service, however hard they try.

Organisational structures and silos

How a company is organised affects how teams work together.

Structure	Description	Service strength	Service risk
Functional	Teams by job: sales, finance, IT	Experts in each area	Silos; slow handovers
Divisional	Teams by product or region	Close to customers in that area	Duplicated work; different standards
Matrix	Staff report to two managers	Flexible, shares expertise	Confusion about who decides
Flat	Few management levels	Fast decisions	Managers may have too many staff

Silos form when teams focus only on their own goals. The customer then sees a business that does not "talk to itself".

Process mapping

A **process map** shows the steps of a task in order, and who does each step. It uses simple symbols:

Symbol	Meaning
Oval	Start or end
Rectangle	A task or action
Diamond	A decision (yes or no)
Arrow	The flow to the next step

A **swim-lane map** puts each team in its own row, or "lane". Every time the flow crosses from one lane to another, there is a **handover**. Handovers are where most delays and mistakes happen.

Manager's tip: walk the process yourself, or follow one real customer case from start to finish. You will often find steps that nobody knew about.

Internal communication

Good internal communication helps teams serve each other and the customer:

- **Daily huddles:** a 10-minute team meeting at the start of each shift.
- **Shared systems:** everyone sees the same customer history.
- **Clear escalation paths:** staff know who to call for each type of problem.
- **Feedback loops:** frontline staff can report problems to the teams that cause them.

Internal SLAs and "internal customer surveys"

Some companies ask teams to rate the service they receive from other teams, for example: "How satisfied are you with the IT help desk?" The results are used like CSAT for internal teams. Combined with internal SLAs, this makes internal service visible and measurable.

The value chain view

Michael Porter's **value chain** (1985) divides a business into **primary activities** (such as operations, sales and service) and **support activities** (such as HR, technology and purchasing). Support activities are internal service providers. When they work well, the primary activities can deliver more value to customers.

Further reading

- Heskett, J. L. et al. (1994). "Putting the Service-Profit Chain to Work". *Harvard Business Review*, March–April.
- Porter, M. E. (1985). *Competitive Advantage*. New York: Free Press.
- Rummler, G. A. and Brache, A. P. *Improving Performance: How to Manage the White Space on the Organization Chart*. San Francisco: Jossey-Bass.

Tech layer: ticketing and handover tools

A **ticketing system** gives every customer problem a number and an owner. Each ticket shows its history, so the next person does not ask the customer to repeat everything. Good systems:

- assign every ticket to one owner (the A)
- show internal SLAs, for example "Finance must approve within 24 hours"
- send automatic reminders when a ticket is waiting too long
- keep internal notes the customer does not see

Technology helps, but it does not fix unclear roles. A ticket with no owner is just a list of problems.

Case study: an air conditioner from Carrefour

Imagined scenario: the situation and numbers are invented for practice. They do not describe the real company.

Imagine a customer in Doha buys an air conditioner at **Carrefour**. The sales team promises installation "within 3 days". The installation team plans its work a week ahead and never sees the promise. On day 4 the customer calls. The contact centre cannot see the installation schedule. Sales say it is the installers' job; the installers say sales should not make promises.

Analyse it with RACI. The gap is between **sales** and **installation**. Nobody is accountable for agreeing the installation date. **Fix:** make the installation coordinator **Accountable** for the date. Sales **consult** the live schedule before promising, and the contact centre is **informed** through a shared ticket.

BRAND SPOTLIGHT

Toyota: anyone can stop the line

What happened. Toyota is a Japanese car maker. Its factories are famous for the **andon** system. If a worker sees a problem on the production line, they pull a cord or press a button. A light and sound call a team leader to help at once. If the problem cannot be fixed quickly, the line stops.

Why it matters. In many factories, stopping the line is seen as a disaster. At Toyota, it is seen as **good**. The problem is fixed at the moment it happens, before a faulty car reaches the next team or the customer.

The lesson for managers. The next team is your **customer**. Do not pass a problem on to them. Give every person the right to say "stop, something is wrong", and make sure someone responds fast.

Word help: *production line* = a row of workers and machines that build a product step by step.

BRAND SPOTLIGHT

Disney: onstage and backstage

What happened. Disney parks divide work into **onstage** (where guests can see) and **backstage** (where they cannot). Backstage are kitchens, laundries, offices and hidden paths. Many backstage teams never meet a guest. But their work decides what guests experience: clean costumes, hot food, rides that work.

Why it matters. Backstage teams are serving **internal customers**: the cast members onstage. If the laundry is late, the cast member has no costume. If maintenance is slow, a ride closes and guests are unhappy.

The lesson for managers. Every team has customers, even if they never see the paying customer. Make internal handovers clear, and show backstage teams how their work reaches the guest.

QATAR SPOTLIGHT

Doha Metro and Metrolink: a handover between teams

What happened. Many people do not live next to a metro station. So **Metrolink** feeder buses, run by Mowasalat (Karwa), carry passengers between Doha Metro stations and nearby neighbourhoods, workplaces and malls. These feeder buses are free, but passengers still need to validate their journey with an accepted card or ticket.

Why it matters. For the passenger, it is **one journey**: home → bus → metro → work. But behind it there are different teams and organisations. If timetables, information or ticketing do not match, the passenger feels the gap.

The lesson for managers. Every handover between teams needs clear owners, shared information and service standards. That is exactly what **RACI** and **SLAs** help with.

Is this model perfect?

Strengths of RACI	Limits of RACI
Makes roles clear and easy to see	Takes time to create and keep up to date
Finds tasks with no owner or two owners	A chart on paper does not change behaviour by itself
Simple to share across teams	Can become too detailed for small teams
Reduces blame between teams	Does not show how fast or how well a task is done (an SLA is needed)

How to use this in an answer: "A RACI chart would make ___ accountable for ___. However, it must be supported by ___ (for example an SLA or training)."

Useful language

Asking another team for help

- "Could you help me with ___ by ___? A customer is waiting."
- "Who is the right person to decide this?"

Handing over clearly

- "I'm passing this to you. Here's the customer's history and what they need."
- "The customer has been told they'll hear from us by 3 pm."

Avoiding blame

- Instead of "That's not my job", say: "Let me find the right person for you."
- Instead of "They made a mistake", say: "Let me check what happened and fix it."

Practice case: an IKEA sofa delivery

Imagined scenario: the situation and numbers are invented for practice. They do not describe the real company.

Imagine a customer orders a sofa from **IKEA** online. It arrives damaged. Here is what happens:

- **Day 1:** The customer emails customer service. An agent replies, "Please contact the delivery company."
- **Day 3:** The delivery company says, "We only deliver. Damage claims go to the store."
- **Day 5:** The store says, "Online orders are handled by the online team."
- **Day 8:** The online team asks for photos again. The customer posts a one-star review: "Nobody takes responsibility."
- **Day 12:** A manager sees the review and approves a refund in 10 minutes.

Guided questions

1. **Analyse:** List every team involved. Who are the internal customers in this process?

2. **Analyse:** Draw a RACI chart for "damaged delivery", with five tasks.
3. **Evaluate:** Where was the biggest gap? Who should have been accountable?
4. **Recommend:** Write two internal SLAs for this process, for example "The online team decides on damage claims within 24 hours."
5. **Evaluate:** The manager solved it in 10 minutes. What does this tell you about the problem?

Hint: the problem was not difficult. It was unclear who owned it.

Think local

Think about a large organisation you know, for example **Hamad International Airport** or a big hospital.

1. Name three teams behind the scenes that customers never see. Who are their **internal customers**?
2. Think of a time you were passed from one department to another. Where was the **gap**?
3. Who should have been **accountable**?

Teachers: replace these brands with any brands your students know well.

Common mistakes managers make

- **Blaming another team.** "That's not my department" tells the customer that nobody cares.
- **Two A's for one task.** When two people are accountable, nobody really is.
- **No A at all.** Problems sit and wait because nobody owns them.
- **Buying software to fix unclear roles.** A ticketing system helps only when roles are clear.
- **No internal service standards.** Without an SLA, "urgent" means different things to different teams.

Apply it: build a RACI chart

Choose a process with at least two teams, for example "a customer returns a faulty laptop".

1. List four to six tasks in order, from "customer asks" to "customer is told the result".
2. Write the teams or people across the top of a table.
3. Fill in R, A, C and I for each task.
4. Check the golden rule: is there **exactly one A** in every row?
5. Find the weakest handover. Write one fix with the sentence frame.

Chapter summary

- **Internal customers** are colleagues and teams who depend on your work.
- Poor internal service always reaches the external customer.
- **RACI**: **R**esponsible (does it), **A**ccountable (owns it), **C**onsulted (gives advice), **I**nformed (is told).
- Each task needs **exactly one A**.
- **Ticketing systems** and **SLAs** help teams hand over work clearly, but roles must be clear first.

Review quiz

1. Who **owns the result** and makes the final decision?
   a. Responsible
   b. Accountable
   c. Consulted
   d. Informed
2. How many A's should each task have?
   a. none
   b. exactly one
   c. two
   d. as many as possible
3. A team that works alone and does not share information is called a...
   a. silo
   b. charter
   c. dashboard
   d. benchmark
4. At Toyota, a worker who sees a problem...
   a. waits for the end of the day
   b. ignores it
   c. can call for help and stop the line
   d. sends an email to head office
5. Disney's laundry team serves which customers?
   a. only paying guests
   b. internal customers: the cast members
   c. suppliers
   d. no customers

Check your understanding

1. Who are the internal customers of an IT team in a hotel?
2. Explain the difference between Responsible and Accountable.
3. Why should each task have only one A?
4. Give three features of a good ticketing system.
5. *Level 5 question:* A manager wants to solve the case above by buying new software. Evaluate whether this alone will work.

Capstone step 6

In your chosen organisation, **analyse one gap between two teams** that affects customers. Draw a small RACI chart for it and **justify a fix**.